



CHAPTER 47.

An Act to facilitate the Investment of Savings in Securities issued for the purposes of the present War by means of the establishment of Municipal Savings Banks. A.D. 1916.

[23rd August 1916.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :

1.—(1) For the purpose of facilitating the investment of savings in securities issued for the purposes of the present war it shall be lawful for any council to which this section applies, with the consent of the Treasury, after consultation with the Local Government Board, or in the case of Scotland with the Secretary for Scotland, to establish and maintain a savings bank, and to receive at that bank deposits, and to guarantee the payment of interest on and the repayment of such deposits, and for that purpose to charge such rate or fund out of which any of the expenses of the council are payable as may be prescribed by regulations made under this section, subject, however, to the following conditions :

Power of
councils of
boroughs to
establish
savings banks.

(a) the bank shall not receive any deposits except from persons in the employment of some other person and made through their employers either by way of deductions from wages or otherwise, nor shall the bank receive any deposit which makes the sum standing in the name of any depositor in the bank exceed two hundred pounds ;

(b) the bank shall not be carried on (otherwise than for the purpose of winding it up) after the expiration of

A.D. 1916.

three months from the termination of the present war ;

- (c) all sums belonging to the bank, except such as are required to meet current liabilities, shall be invested through the National Debt Commissioners in such of the following securities issued for the purposes of the present war as those Commissioners think fit, that is to say, either in Treasury bills or in advances to the Treasury of sums which the Treasury may borrow for the purpose of raising any sum which they are authorised to issue out of the Consolidated Fund under any Consolidated Fund Act or Appropriation Act ;
- (d) interest shall be paid by the National Debt Commissioners to the bank on the balance from time to time standing to the credit of the bank at such rate as may from time to time be determined by the Treasury having regard to the interest earned on the sums so invested ;
- (e) the accounts of the bank shall be kept separate from all other accounts of the council, and shall be audited in such manner as may be prescribed by regulations made under this section, and no money paid into the bank shall be used for any purpose of the council other than the bank ;
- (f) the rate of interest payable on deposits shall be subject to the approval of the Treasury ;
- (g) the aggregate amount of the sums which a depositor may withdraw in any period of seven days without giving seven days' notice, shall be limited to one pound ;
- (h) the bank shall be carried on in accordance with such regulations as the Treasury, after consultation with the Local Government Board, or in the case of Scotland with the Secretary for Scotland, may prescribe.

(2) Regulations made by the Treasury under this section may apply, with or without modification, any of the provisions (including penal provisions) contained in the enactments relating to savings banks, but, save as so applied, those enactments shall not apply to a savings bank established under this section.

(3) The councils to which this section applies are the councils of municipal boroughs in England, and royal, parliamentary, and police burghs in Scotland, having a population,

according to the census of nineteen hundred and eleven, of not A.D. 1916.
less than two hundred and fifty thousand. ---

2. This Act may be cited as the *Municipal Savings Banks Short title.*
(*War Loan Investment*) Act, 1916.

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FOR

FREDERICK ATTERBURY, Esq., C.B., the King's Printer of Acts of Parliament.